EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Abulug lies along the northwestern part of the Province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug, including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Abulug for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Abulug, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase (Decrease)
Financial Position			
Assets	P591,208,705.39	P563,302,473.63	P27,906,231.76
Liabilities	115,615,515.39	142,132,474.88	(26,516,959.49)
Govt. Equity	475,593,190.00	421,169,998.75	54,423,191.25
Financial Performance			
Income	186,633,272.63	213,488,759.27	(26,855,486.64)
Expense	163,123,633.50	174,056,270.11	(10,932,636.61)
Appropriations, Allotments and Obligation			
Appropriations	191,627,395.00	215,270,152.00	(23,642,757.00)
Allotments	187,301,266.05	212,450,548.29	(25,149,282.24)
Obligations	180,640,120.90	193,240,979.61	(12,600,858.71)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Abulug Fishery Research Center	P26,986,750.84
Completion of Sanitary Landfill (Facilities)	6,981,738.34
Purchase of Road Grader	4,600,000.00
Concrete Paving of Abulug Fishery Research Center Road	4,051,606.39
Improvement of Evacuation Center	2,359,718.48
Construction of Ecological Solid Waste Management Equipment Shed	2,088,990.40
Concreting of Langay Farm to Market Road	1,999,364.17
Road Concreting of Purok Regta FMR	1,991,392.94
Construction of Drainage Canal Barangay Dana-Ili	1,076,225.37
Construction of Drainage Canal Barangay Lucban	997,572.92
Total	**P53,133,359.85**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Abulug, Cagayan for the year ended December 31, 2023 because the accuracy of the reported balance of Property, Plant and Equipment account amounting to P433.180 million cannot be determined due to: (1) incomplete inventory report of PPE; (2) non-maintenance of Property Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Various Other Receivables account amounting to P0.480 million remained dormant as at December 31, 2023, hence, should be validated and verified in accordance with COA Circular No. 2016-005 dated December 19, 2016, in order to establish its existence, to determine its collectability and to consider the need to write-off of the said accounts.

We recommended that the Management, thru the Municipal Accountant, undertake the necessary procedures outlined in COA Circular No. 2016-005, including the validation of the collectability of dormant receivables and when determined uncollectable, initiate a written request for the authority to write-off the dormant accounts. This will ensure compliance with relevant laws and regulations and promote fair presentation of the Other Receivables account in the financial statements.

2. The Report on the Physical Count of Local Road Network prepared by the Inventory Committee was submitted beyond the prescribed period, also, it did not include the value of the lot component of the road network and lacked the complete description of road components, which are not in accordance with COA Circular No. 2015-008 dated November 23, 2015. Thus, the evaluation of the said report was not immediately conducted in order to identify deficiencies, if any, and for the Management to effect corrections thereon.

   We recommended that the Inventory Committee, in the preparation of the Report on the Physical Count of Local Road Network for succeeding years, include the road lot cost/fair market value of the land where the local road networks are situated/erected, and that the Municipal Engineer provide the exact date of completion of the construction, complete description and the condition of each road network component. Moreover, the submission of the Report within the period prescribed under COA Circular No. 2015-008 is enjoined.

3. Excess balances of fund transfers from NGAs and LGUs totaling to P0.494 million, were not returned to the Source Agencies despite the completion of the funds' purpose, and fund transfers totaling to P6.573 million remained unimplemented/unutilized as at December 31, 2023, contrary to Item 6.7 of COA Circular No. 94-013 dated December 13, 1994, thus, depriving its constituents of the economic benefit that they could have been derived therefrom.

   We recommended that the Management immediately prepare the corresponding liquidation documents to be submitted to the source agency, and return the unutilized balances of the fund in accordance with COA Circular No. 94-013 dated December 13, 1994, thus, reduce the liability of the LGU. We also recommended that the Management timely implement the programs or projects funded by the NGAs and other LGUs in order to maximize the use of government resources and prompt delivery of the desired socio-economic benefits to its constituents.

4. The Municipality was able to implement 37 out of 40 infrastructure projects programmed under the 20% Development Fund, in which 34 projects were completed and 3 are on-going as of year-end. This is a reflection of a strong

commitment of the LGU to bring the benefits of socio-economic development to its constituents.

We recommended that the Management continue the implementation of the projects funded under the 20% Development Fund and continue their commitment in serving the constituents of the Municipality. Further, to ensure timely implementation and completion of development projects, we strongly suggested that the Management coordinate with the Municipal Planning Development Coordination and Municipal Engineer to carefully plan and schedule each project's implementation. This will pave the way for a more efficient execution of these initiatives.

5. Driver's trip tickets and fuel requisition and issue vouchers to support the disbursements for fuel, oil and lubricants were not properly accomplished and serially numbered, and the required Monthly Reports of Fuel Consumption were not submitted, contrary to COA Circular No. 77-61 dated September 26, 1977. Thus, the reasonableness of fuel, oil and lubricants consumed in CY 2023 totaling P9.051 million could not be established.

   We recommended that the General Services Office ensure that an approved Requisition and Issue Voucher or a gas slip is issued and a complete and properly accomplished driver's trip ticket is presented prior to the refueling of government vehicle for official use. Moreover, we required that the Monthly Report of Fuel Consumption be submitted to the Audit Team for verification in compliance with COA Circular No. 77-61 dated September 26, 1977.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	424,568.17	-	-	424,568.17	-
Current Year	-	4,360,000.00	-	4,360,000.00	-
Total	424,568.17	4,360,000.00	-	4,784,568.17	-
Charges					
Prior Years	-	-	-	-	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of twelve (12) audit recommendations embodied in the CY 2022 Annual Audit Report, four (4) were fully implemented, five (4) were partially implemented and three (3) were not implemented.